

Income Tax Slabs — Financial Year 2025-26

(Assessment Year 2026-27) | Old Regime vs New Regime | Normal & Senior Citizens

1. New Tax Regime (Section 115BAC) — Default Regime

The new tax regime applies the **same slab rates for all individuals** — normal citizens, senior citizens (60-80 years), and super senior citizens (80+ years). Age-based basic exemption does not apply under the new regime.

Income Slab	Tax Rate
Up to Rs. 4,00,000	Nil
Rs. 4,00,001 – Rs. 8,00,000	5%
Rs. 8,00,001 – Rs. 12,00,000	10%
Rs. 12,00,001 – Rs. 16,00,000	15%
Rs. 16,00,001 – Rs. 20,00,000	20%
Rs. 20,00,001 – Rs. 24,00,000	25%
Above Rs. 24,00,000	30%

Rebate under Section 87A (New Regime): Full tax rebate of up to Rs. 60,000, effectively making income up to Rs. 12,00,000 tax-free (before cess). With the standard deduction of Rs. 75,000 for salaried individuals/pensioners, take-home income up to Rs. 12,75,000 can be tax-free.

Standard Deduction: Rs. 75,000 for salaried individuals and pensioners under the new regime.

2. Old Tax Regime — Normal Citizens (Below 60 years)

Income Slab	Tax Rate
Up to Rs. 2,50,000	Nil
Rs. 2,50,001 – Rs. 5,00,000	5%
Rs. 5,00,001 – Rs. 10,00,000	20%
Above Rs. 10,00,000	30%

Rebate under Section 87A (Old Regime): Rebate of up to Rs. 12,500, making income up to Rs. 5,00,000 tax-free (before cess). Standard deduction of Rs. 50,000 available for salaried individuals/pensioners.

3. Old Tax Regime — Senior Citizens (60 to 80 years)

Income Slab	Tax Rate
Up to Rs. 3,00,000	Nil
Rs. 3,00,001 – Rs. 5,00,000	5%
Rs. 5,00,001 – Rs. 10,00,000	20%
Above Rs. 10,00,000	30%

4. Old Tax Regime — Super Senior Citizens (Above 80 years)

Income Slab	Tax Rate
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Up to Rs. 5,00,000	Nil
Rs. 5,00,001 – Rs. 10,00,000	20%
Above Rs. 10,00,000	30%

5. Surcharge Rates (Applicable to Both Regimes, Based on Total Income)

Total Income	New Regime Surcharge	Old Regime Surcharge
Up to Rs. 50,00,000	Nil	Nil
Rs. 50,00,000 – Rs. 1,00,00,000 (1 crore)	10%	10%
Rs. 1,00,00,000 – Rs. 2,00,00,000 (2 crore)	15%	15%
Rs. 2,00,00,000 – Rs. 5,00,00,000 (5 crore)	25%	25%
Above Rs. 5,00,00,000 (5 crore)	25%	37%

Important: Under the **new tax regime**, the maximum surcharge rate is capped at **25%** (even for income above Rs. 5 crore) — the 37% surcharge slab under the old regime does not apply. Surcharge on tax on dividend income and certain capital gains (under sections 111A, 112, 112A) is capped at 15% under both regimes. **Marginal relief** is available to ensure the incremental tax (plus surcharge) does not exceed the incremental income above the threshold.

6. Health and Education Cess

A **Health and Education Cess of 4%** is levied on the amount of income tax plus applicable surcharge, under both the old and new tax regimes, for all categories of taxpayers (normal citizens, senior citizens, and super senior citizens).

Total Tax Liability Formula: Income Tax + Surcharge (if applicable) = Tax Before Cess; Tax Before Cess × 4% = Health & Education Cess; Total Tax Liability = Tax Before Cess + Cess.

7. Key Notes

- The **new tax regime is the default regime** from FY 2023-24 onwards. Taxpayers with business income wanting to opt for the old regime must file Form 10-IEA; salaried individuals can choose either regime each year at the time of filing their return.
- Age-based higher basic exemption limits (Rs. 3,00,000 for senior citizens and Rs. 5,00,000 for super senior citizens) are available **only under the old tax regime**.
- Deductions such as Section 80C, 80D, HRA, and home loan interest (Section 24b) are generally **not available under the new tax regime**, except for a few items like employer's NPS contribution (Section 80CCD(2)) and standard deduction.
- Senior citizen status (60+ years) and super senior citizen status (80+ years) is determined based on age at any point during the financial year, and applies to resident individuals only.

Disclaimer: This document is prepared for general informational purposes based on the provisions applicable for Financial Year 2025-26 (Assessment Year 2026-27) as per the Finance Act, 2025. Tax rules are subject to amendment; please verify with the Income Tax Department (incometax.gov.in) or a qualified tax professional before making financial decisions. Prepared for A H Char, compiled July 2026.